

Key Changes		Target		Rating	Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
—	—	N/A	LTTS	540115	—

Target	N/A
CMP	N/A
Return	N/A

Company Data

— No data available —

Y.E March (₹ Cr)

— No data available —

Record ~USD 300mn deal TCV; margins stabilise, Mobility still a drag

L&T Technology Services, a listed subsidiary of Larsen & Toubro, is a pure-play engineering and technology services provider offering design, development, testing and sustenance services across products and processes. It operates through Mobility, Sustainability and Tech segments, serving 69 Fortune 500 clients from 23 global design centres, 30 sales offices and 105 innovation labs.

Key Highlights

- Q2FY26 revenue of Rs. 2,979.5 crore, up 15.8% YoY and 4.0% QoQ; USD revenue of \$337.1mn grew 10.4% YoY and 1.3% QoQ in constant currency.
- EBITDA at Rs. 490.8 crore with margin at 16.5%, up 40bps QoQ but down from 18.1% a year ago; EBIT margin at 13.4%.
- Net profit of Rs. 328.7 crore, up 4.1% QoQ and 2.8% YoY; net income margin steady at 11.0%, basic EPS at Rs. 31.02.
- Record high large-deal TCV of near-USD 300mn in the quarter, including a \$100mn Sustainability win and a ~\$60mn Tech program.
- Interim dividend of Rs. 18 per share declared, record date October 27, 2025.
- Patent portfolio crossed 1,601 filings, of which 216 are in AI/Gen AI and 978 are co-authored with clients.

Shareholding (%)

— No data available —

Price Performance (%)

— No data available —

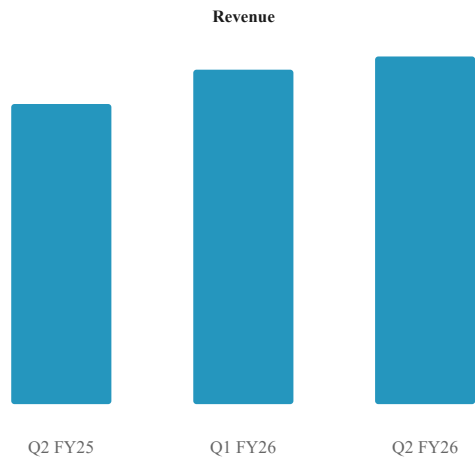
Outlook & Valuation

Management expects both revenue and EBIT margins to improve in H2FY26 versus H1FY26, supported by an increased order book and a record quarterly deal TCV of near-USD 300mn. LTTS aspires to double-digit growth in FY26 and reiterates its medium-term ambition of USD 2bn revenue. Growth drivers are the Tech and Sustainability segments, alongside early monetisation of the AI portfolio (Qguard.ai, FusionWorld.ai, PLxAI, AiNexus, GENIQ, TrackEi), partnerships with SiMa.ai, NVIDIA and the MIT Media Lab, and an AI-first delivery model. Key monitorables remain the Mobility segment decline of 10.1% YoY, gross margin compression of 130bps YoY, softer free cash flow conversion at 65% of net income, and geopolitical/demand uncertainty flagged by management. The source document is a company results release and contains no analyst recommendation or valuation view. We do not assign a rating and no target price is set: NOT RATED.

Quarterly Financials (₹ Cr)	Q Current	Q YoY	YoY %	Q QoQ	QoQ %
Sales	2979.5	2572.9	15.8	2866.0	3.96
EBITDA	490.8	466.0	5.32	462.4	6.14
Margin (%)	16.5	18.1	N/A	16.1	N/A
EBIT	398.2	387.7	N/A	381.3	N/A
Reported PAT	328.7	319.6	N/A	315.7	N/A
Adjusted PAT	328.7	319.6	N/A	315.7	N/A
Adjusted EPS	31.02	30.2	N/A	29.81	N/A

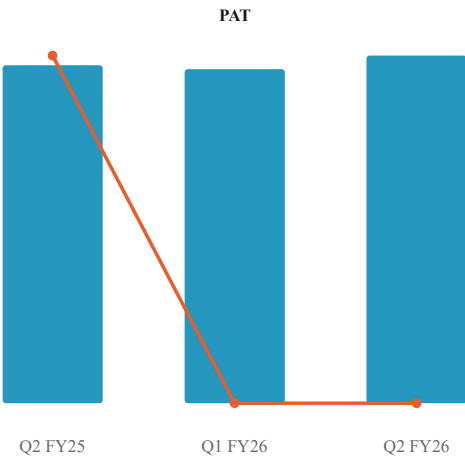
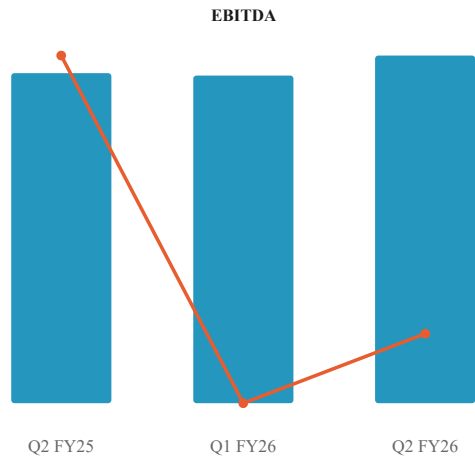
Key highlights

- Segment mix: Tech is now the largest at 39.4% of revenue and grew 28.6% YoY; Sustainability rose to 31.6% with 12.6% YoY and 3.0% QoQ growth and now houses a USD 50mn annual run-rate account. Mobility declined 10.1% YoY to 29.0% of revenue.
- Geographically, North America (54.7% of revenue) grew 14.4% YoY and India 8.1%, while Europe was muted at 3.3% and Rest of the World fell 15.9% QoQ.
- Gross margin held flat QoQ at 28.0% but was 130bps below Q2FY25, with D&A rising to Rs. 926mn; other income declined to Rs. 498mn on lower forex gains of Rs. 60mn versus Rs. 344mn in Q1.
- Balance sheet: total assets at Rs. 9,731.6 crore with receivables up to Rs. 3,198.7 crore; YTD FY26 operating cash flow of Rs. 480.9 crore and free cash flow conversion at 65% of net income versus 109% in FY25.
- Headcount at 23,678 with LTM voluntary attrition at 14.8%; active client count at 450, with 205 clients above the \$1mn revenue mark. AI platforms now contribute 1% of trailing 12-month revenue via licences.
- Management flags shifting market dynamics and geopolitical unpredictability as key uncertainties for the demand environment.



Gross Order Value

Data not available



Change in Estimates

Metric	Old Estimates		New Estimates		Change (%)	
	FYc	FYn	FYc	FYn	FYc	FYn

— No data available —

Consolidated Financials

Profit & Loss					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
DPS	N/A	N/A	18.0	N/A	N/A

Cashflow					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
CF from Operations	N/A	1481.1	480.9	N/A	N/A
Capital Expenditure	N/A	101.8	64.3	N/A	N/A

Balance Sheet					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
Cash	N/A	1565.8	1491.8	N/A	N/A
Accounts Receivable	N/A	2916.5	3198.7	N/A	N/A
Other Current Assets	N/A	426.2	384.1	N/A	N/A
Investments	N/A	1309.6	1384.6	N/A	N/A
Net Fixed Assets	N/A	906.3	936.2	N/A	N/A
Intangible Assets	N/A	1366.7	1367.3	N/A	N/A
Other Assets	N/A	557.1	285.1	N/A	N/A
Total Assets	N/A	9643.5	9731.6	N/A	N/A
Current Liabilities	N/A	2990.0	2867.0	N/A	N/A
Other Liabilities	N/A	556.0	657.2	N/A	N/A
Shareholder Funds	N/A	6080.0	6189.0	N/A	N/A
Minority Interest	N/A	17.5	18.4	N/A	N/A
Total Liabilities	N/A	9643.5	9731.6	N/A	N/A

Ratio	
Y.E March	
— No data available —	

Recommendation Summary (last 3 years)

Dates	Rating	Target
— No prior recommendation history available —		

Data not available

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbol definition:

▲ Upgrade ● No Change ▼ Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell. The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating. For reasons of valuations/ return/lack of clarity/event we may revisit rating at appropriate time. Please note that the stock always carries the risk of being upgraded to BUY or downgraded to a HOLD, REDUCE or SELL.

Not rated/Neutral — The analyst has no investment opinion on the stock under review.

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Analyst: —

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